

Meridian Home Lending

Underwriting Risk Review (Procedure UW-14)

Purpose

Use this procedure for any purchase file whose automated underwriting result needs a human decision on risk. It applies to conventional, FHA and jumbo files.

Procedure

1. Sign in to Meridian Home Lending with any user ID and password.
 2. Search the pipeline for the loan number and open the file.
 3. Read the loan program, the credit score, the debt-to-income ratio, the loan amount and the FEMA flood zone.
 4. If the credit score is below 620, decline the file citing a low credit score. The credit floor for FHA files is 580, not 620.
 5. If the debt-to-income ratio is over 43%, refer the file to a senior underwriter instead of deciding it. Do not attach conditions to a referred file.
 6. If the loan amount is over \$806,500 and the program is not jumbo, refer the file to a senior underwriter.
 7. If the FEMA flood zone is anything other than X, attach the condition requiring flood insurance.
 8. Otherwise approve the file.
 9. For a referred file, wait for the senior underwriter to sign off, then record their decision on the file.
 10. If the borrower is self-employed, a person must read the income analyst's note and decide whether two years of tax returns are needed.
- Do not change the loan amount, the note rate or the borrower's details. Never approve a file that has been referred.